

Chapter 2

The Basics of Bitcoin and Blockchain Technology

It's time to crystallize the difference between Bitcoin, Bitcoin's blockchain, bitcoin with a lowercase *b*, blockchain technology, and other related but distinct concepts. At first blush, this space appears jargon heavy, deterring many from even attempting to understand it. In reality, there are only a few foreign concepts, encapsulated in recently invented words, which unfortunately keep people out. Since these words are used frequently when people talk about different applications of Bitcoin or blockchain technology, the space appears impenetrable—but it's not. All that's required is a concerted effort to nail down the key concepts, which then become the mental scaffolding that will support understanding of the many applications of blockchain technology.

Bitcoin with an uppercase *B* refers to the software that facilitates the transfer and custody of bitcoin the currency, which starts with a lowercase *b*.